The Conversation (Hayley Pring, Grattan Institute) · 16 October 2026

Coal mine methane: the emissions at home we are undercounting

> The High Court has ruled the approval of the Mount Pleasant coal mine expansion invalid because planners largely ignored emissions from coal burned overseas. A Grattan Institute analyst argues that methane released at Australian mines is also badly measured and too loosely regulated.

WHAT HAPPENED

- NSW approved the biggest coal-mine expansion in its history, letting **Hunter Valley Operations** keep digging to 2045. The High Court found that Mount Pleasant's approval looked at only the 2% of emissions released in Australia, not the 98% from coal burned abroad.
- Coal-mine **methane is about 5% of Australia's emissions**. Over 20 years, methane traps about 80 times as much heat as CO_2.
- The **Safeguard Mechanism** gives big emitters a falling yearly limit. Facilities that exceed it must buy carbon credits, and those that beat it earn credits to sell.
- **Measurement problem:** aircraft found open-cut mines released about **3.6 times** the methane they reported, and satellite analysis of NSW tells a similar story. Mount Pleasant's reported emissions fell by three-quarters in 2023–24 even though it mined more coal.
- **Design problem:** every coal mine is moving to the same 65 kg-per-tonne target, so low-reporting open-cut mines earned about 700,000 credits (around $26m) in 2024–25. Pring proposes verified measurement and separate limits, which would cut open-cut limits by about 1.3 million tonnes a year.

Key terms: negative externality · Safeguard Mechanism (baseline-and-credit) · carbon credits · scope 3 emissions

BY THE NUMBERS

~5%
Share of Australia's emissions from coal-mine methane

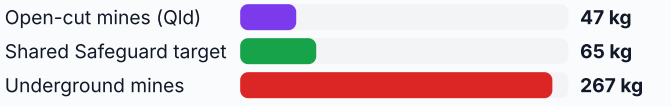
3.6×
Methane measured by aircraft vs reported (open-cut)

$26m
Credits earned by open-cut mines, 2024–25

1.3 Mt
Annual cut from separate open-cut limits

BAR CHART

Reported emissions per tonne of coal vs the shared Safeguard target



kg CO_2-equivalent per tonne of coal, reported figures. Source: Pring, The Conversation.

Because reported open-cut emissions sit **below** the shared target, these mines can earn and sell credits without cutting any methane. That weakens the price signal the policy is meant to create.

If the methane is undercounted, polluters also **avoid paying** for the full external cost of their emissions.

Exam angle: market-based environmental policy only works if emissions are **measured accurately** and baselines are set sensibly. This case is a good example of the limitations of environmental management policy.

SYLLABUS LINK

Topic 4 – Environmental management policy: market-based approaches (the Safeguard Mechanism) and their limitations. Topic 3 – environmental sustainability and negative externalities.

TRY THIS

Evaluate the effectiveness of the Safeguard Mechanism as a policy to reduce Australia's greenhouse gas emissions. **(5 marks)**

Hayley Pring (Grattan Institute), 'The High Court looked at coal climate emissions overseas. But what about emissions at home?', The Conversation, 16 Oct 2026 – https://theconversation.com/the-high-court-looked-at-coal-climate-emissions-overseas-but-what-about-emissions-at-home-294235

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